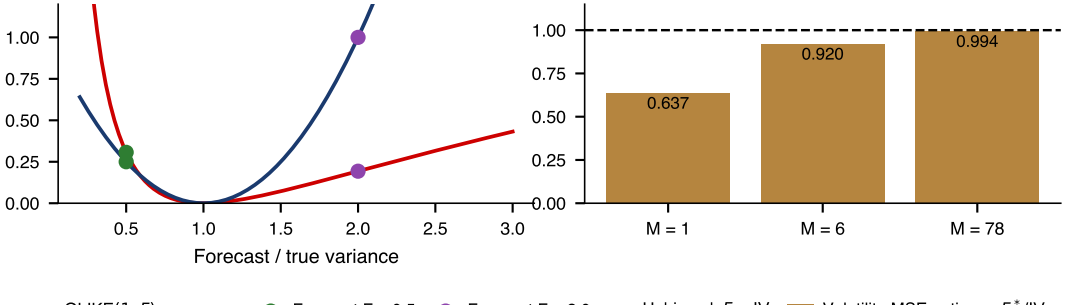
1.00
0.75
0.50
0.25
0.00
0.5
1.0
1.5
2.0
2.5
3.0
Forecast / true variance
0.637
0.920
0.994
M = 1
M = 6
M = 78
QLIKE(1, F)
Variance MSE (1 − F)²
Forecast F = 0.5
Forecast F = 2.0
Unbiased: F = IV
Volatility-MSE optimum F* /IV